

ENGLISH **LIVE**

25

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 25

1st MARCH, 2017

Welcome Mergers in the Telecom Space

After the initial pain, telcos will gain, too

Vodafone in India is merging with Idea Cellular. Bharti is acquiring Telenor's loss-making operations in India. Reliance Infocomm has merged with Aircel and MTS and is in talks to bring Tata Teleservices into its embrace. Indian telecom is consolidating at a rapid pace, thanks to the disruptive entry of Reliance Industries' Jio, which fancies itself as a digital empire in the making rather than as a telecom company, and is, thus, prepared to offer voice services for free and data services at an ultra-low rate to facilitate all kinds of digital commerce. Disruption is bad, at least in the short run, for the companies being jolted out of their traditional mould but probably good for the consumer and for the industry as well.

The consumer's benefit is hardly obscure. Tariffs have fallen sharply: calls are free and data has become cheap, once you become a subscriber for a nominal fee, which is zero for Jio alone till March. But this would prove transient, if the service providers did not reorganise their business to make these low tariffs viable. The ongoing consolidation in the sector is part of that



organisational restructuring. Larger subscriber bases, especially those in underserved areas, would allow margins to grow thinner, without the company turning sick. Shared resources of the merging companies would allow cost saving. Larger pools of spectrum will allow operators to finally optimise the network in a manner prohibited hitherto by the slivers of disparate spectrum they had to make do with. Larger distribution networks will come in handy when telcos fully operationalise their payment banks. Consolidation will create a leaner, more efficient industry.

The Competition Commission of India, rather than the telecom regulator Trai, should oversee competition in the industry. There is no contradiction between having a sectoral regulator and entities operating in the sector being regulated for a particular purpose by another regulator. For example, just because a company offers telecom services and, thus, comes under the regulatory remit of Trai, it will not cease to be regulated by markets regulator Sebi when it comes to a public issue.

THE ECONOMIC TIMES
25th February 2017

←
DISCUSSION ON
1st March (Today)

→
DISCUSSION ON
2nd March (tomorrow)

India stares at a future without jobs

If consolidation is shrinking job prospects in sectors like telecom, in others like software services and banking, the change is much more structural

Sandeep Khanna



In such a scenario where jobs are scarce, social security in the form of unemployment benefits becomes the only way to maintain stability. Photo: Hindustan Times

A perfect storm is brewing across India's industrial complex, one that will truly test the country's demographic dividend. Restructuring in many existing industries is leading to layoffs in thousands while a future in which new projects could be driven largely by automation and robots could put paid to the aspirations of millions of young men and women readying to join the workforce every year.

Simply put, we could be looking at a future in which there are just no new jobs.

As it is, investment proposals have been coming down while the latest numbers from the Reserve Bank of India show that manufacturing contracted for the first time in seven years, from a growth rate of 12.9% in 2009-10 to -3.7% in 2015-16. So far, the focus has been on injecting fresh capital investment under the assumption that this will automatically lead to job creation. But it is increasingly clear, that correlation is tenuous.

According to estimates by International Labour Organization (ILO), India's employment elasticity, a common measure of how employment growth responds to GDP growth, hovered around 0.3 between 1991 and 2007. Basically, 1% of overall economic growth produced 0.3% of employment growth. That number has been coming down quite alarmingly since, and now stands at only about 0.15%.

Facing uncertain markets at home and abroad and saddled with low capacity utilization, most large Indian companies have been loath to invest in fresh capacities. Even in sectors where there has been fresh investment, net job creation has been negative. Thus, the \$25 billion investment by Reliance Industries Ltd in its telecom operation, Jio, hasn't added to the overall number of jobs in the sector as the incumbents have been forced to restructure their operations to trim costs.

Looking ahead, there could be more layoffs coming as the fallout of Telenor India's sale to Bharti Aircel and the impending merger of Idea Cellular with Vodafone's India unit, take effect.

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solidation in the sector is part of that organisational restructuring. Larger subscriber bases, especially those in underserved areas, would allow margins to grow thinner, without the company turning sick. Shared resources of the merging companies would allow cost saving. Larger pools of spectrum will allow operators to finally optimise the network in a manner prohibited hitherto by the slivers of disparate spectrum they had to make do with. Larger distribution networks will come in handy when telcos fully operationalise their payment banks. Consolidation will create a leaner, more efficient industry.

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- Vodafone in India is **merging** with Idea Cellular. Bharti is acquiring Telenor's loss-making operations in India. Reliance Infocomm has merged with Aircel and MTS and is in talks to bring Tata Teleservices into its **embrace**.
- Indian telecom is **consolidating** at a rapid pace, thanks to the **disruptive** entry of Reliance Industries' Jio, which **fancies** itself as a digital empire in the making **rather than** as a telecom company, and is, thus, prepared to offer voice services for free and data services at an **ultra**-low rate to facilitate all kinds of digital commerce.
- Disruption is bad, at least in the short run, for the companies being **jolted** out of their traditional mould but probably good for the consumer and for the industry as well. The consumer's benefit is **hardly obscure**. Tariffs have fallen sharply: calls are free and data has become cheap, once you become a subscriber for a **nominal** fee, which is zero for Jio alone till March.
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LIVE



+



+



+



Merger



Established ... 1941
Headquarters ...
Hyderabad



Established ... 1945
Headquarters ...
Thiruvananthapuram



Established ... 1913
Headquarters ...
Bengaluru



Established ... 1963
(Year of Merger)
Headquarters ... Jaipur



Established ... 1917
Headquarters ... Patiala

- Merger of State Bank of Saurashtra with SBI took place in 2008 & State Bank of Indore with SBI took place in 2010.

Merger

Two separate entities combine to create a new organization

Acquisition

Takeover of small e-commerce companies by big companies like Amazon / Flipkart occurs normally during the consolidation phase of e-commerce industry.

amazon.com

Flipkart 

mime360

MYNTRA.com

appITERATE



PhonePe
Keep Payment Simple

Acquisition

Takeover of one entity by another / sometimes known as takeover (with a negative connotation)

Amalgamation



Amalgamation

Combination of two or more companies into a new entity.
Neither of the combining companies survives as a legal entity

Embrace

*The Indian textile sector should **embrace** modern technology so as to get a global competitive advantage.*



Embrace

Accepting something enthusiastically

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Consolidation

Consolidation of digital payment companies is inevitable.

paytm

MobiKwik

Consolidation

Two or more companies or organizations coming together

Disruptive

*The entry of Reliance Jio acted as a **disruptive** force in the Indian telecom sector.*



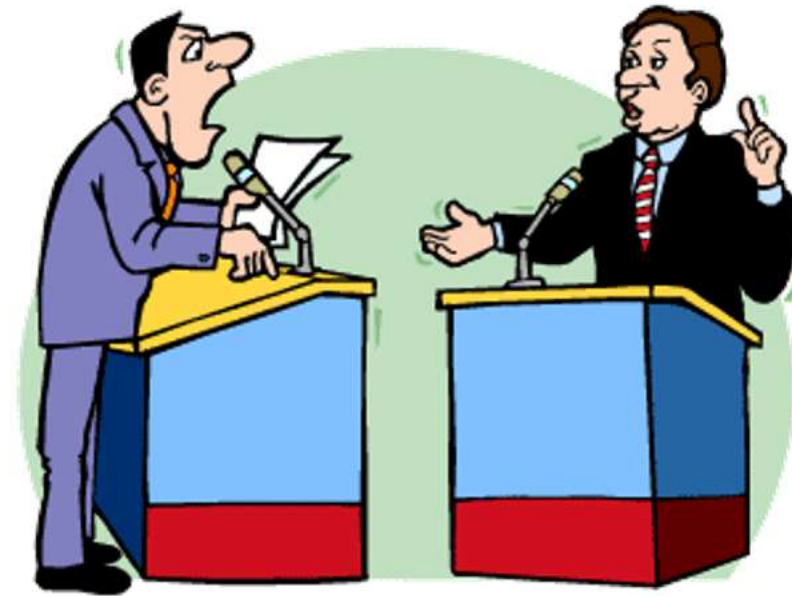
Reliance
jio

Disruptive

Stopping something from continuing as usual

Fancy

*Our politicians **fancy** themselves as the saviors of eliminating poverty from our country.*



Fancy

Imagine or think that something is so

Fancy

*Radhika really **fancies** herself, isn't it so?*



Fancy

To think that one is very attractive or important

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Ultra

*There are several **ultra** conservative religious groups in Saudi Arabia.*



Ultra

Extremely

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Jolt



*The mobile rang at
2 a.m. and Raju
jolted out of his
deep sleep.*



*The train stopped suddenly
and people were **jolted**
forwards.*

Jolt

To cause someone or something to move suddenly

Jolt

*The entry of Reliance Jio
jolted the entire
Telecom industry.*



Reliance
jio

Jolt

Unexpected event that makes prices or levels of activity change suddenly

Hardly

*I could **hardly** hear the
Prime Minister as the
quality of the
loudspeakers is not
satisfactory.*

**Hardly**

Only just; almost not / Barely at all

Obscure

*This is an **obscure** village in the Greater Himalayas.*



Obscure

Not known to many people / not readily noticed / hidden

Nominal



*The principal is the **nominal** head, but the real work is done by the vice-principal.*

Nominal

For name sake, but not in fact



*For industrialization with global competitiveness, Governments should have proactive policies of allotment of land at **nominal** prices.*

Nominal

Very small or smaller than the usual amount

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Transient

*Mumbai has a large
transient population.*



Transient

The issue which lasts only for a short time or you can say temporary

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Optimum



Govt. should make
optimum use of scarce
resources.

Optimum

Prohibit

*Advertisements
pertaining to tobacco
products are **prohibited**
in visual media.*

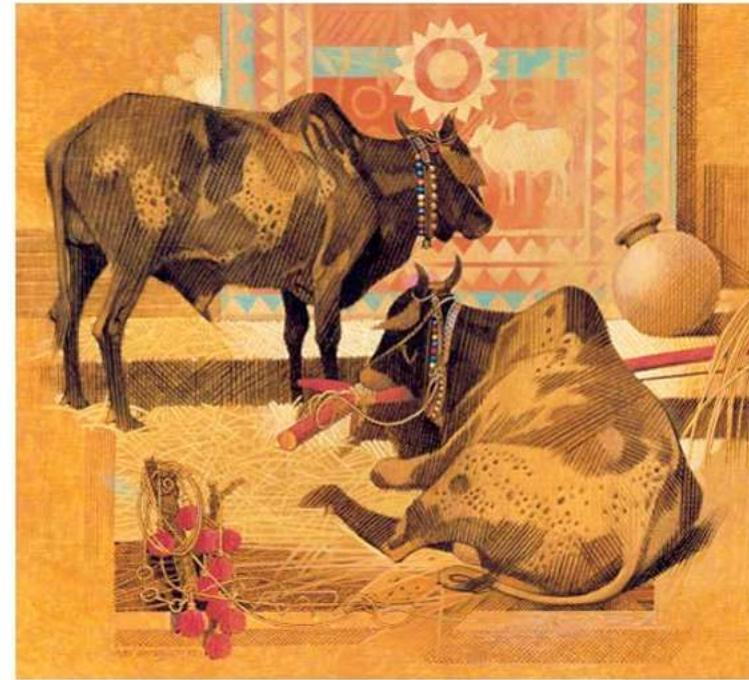


Prohibit

To officially stop something by making laws / rules / regulations

Hitherto

*Ravi's paintings at the cultural festival have revealed his **hitherto** unknown talent.*



Hitherto

Until now or until a particular time

Disparate

*When we talk about gender parity, the treatment given to Naga men and women is totally **disparate** in each and every aspect of public life.*



Disparate

Things that are different from each other

Spectrum



Spectrum

Spectrum is the range of radio waves that are used for communication purposes. These include FM / AM radio broadcasts, smart phones and other wireless forms of communication like Bluetooth and Wi-Fi.

They have to be regulated by dividing into bands so as to avoid interference of one system with the other.

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Telecom Regulatory Authority of India
(IS/ISO 9001-2008 Certified Organisation)

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Oversee

*As a production manager, his job is to **oversee** the company's production to the global standards.*



Oversee

To watch or organize a job or an activity to make sure that it is done in a correct way

Contradiction

*Raju and Ravi say that they are good friends, but the **contradiction** is one does not trust the other.*



Contradiction

Something is complete opposite of something else

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